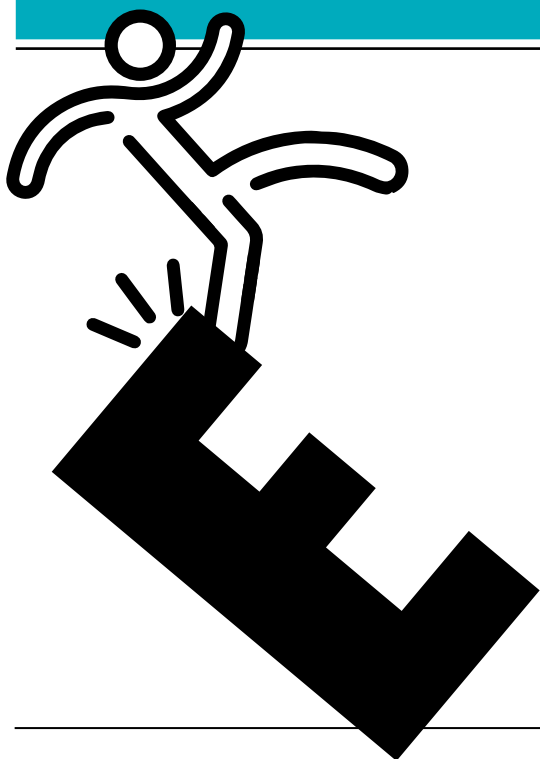




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EVER SINCE THE Covid-19 pandemic introduced the work-from-home routine, Ramesh Sharma (name changed on request), a corporate professional living in Delhi, started spending more on his food and groceries. Sharma, 45, has always been particular about the quality of his diet. But now, he buys more organic groceries and cold-pressed cooking oils and juices even though they are costlier and add to the general inflation in his food and grocery bill. Meanwhile, domestic worker Kusum is scouting for a second-hand refrigerator for her family of five. After multiple repairs, her fridge stopped working this summer. Kusum's husband is a driver, but they don't have ₹10,000 for a new fridge. Her budget: ₹3,000-4,000 for a second-hand one. With rising expenses, buying new appliances remains a dream.

Consumers like Sharma and Kusum are familiar to

Kamal Nandi, Business Head & EVP of Godrej Appliances. A veteran of the consumer durables industry who tracks purchasing patterns, Nandi says the inflationary cycle that began in 2021 has throttled demand for mass-market home appliances. "For the past two to three years, the mass-market categories of essential appliances like refrigerators and air coolers have been subdued," he says.

In refrigerators, sales of single-door direct cool models have been contracting 5-10% a year since the pandemic. These models account for 70% of volumes. "Whatever growth was recorded was in the premium segment. Last year (2023), the refrigerator market remained flat as the mass segment de-grew by 6-7% [by volume]. In 2022, the mass segment was flat, but premium grew by 20-22%," Nandi says. Overall growth was 7%, against 10% in 2021.

The picture is not much different for TVs: Sales of 32-inch or smaller sets, the preferred choice of over 80% of Indian consumers, are under severe stress. Avneet Singh Marwah, CEO of Super Plastronics Pvt. Ltd, which makes smart TVs under licence for popular brands such as Kodak, Thomson and Blaupunkt, says sales of smart TVs larger than 40 inches have overtaken 32-inch TVs post-Covid. "Demand for 55-inch and larger smart TVs is the highest, followed by 40- and 42-inch TVs, while the 32-inch models are de-growing," he says. In 2023, TV sales had declined by up to 15% year-on-year due to subdued demand in smaller (cheaper) categories. Marwah says the current demand is primarily from households that are upgrading.

The trend: practically no demand from poorer households, whose incomes do not give them leeway for discretionary spends. But affluent consumers continue to buy. Ditto in rural areas, where most buyers are not making purchases while a handful opts for premium products.

The home refrigerator market remained flat in 2023 at



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